Liquidity

We maintain a significant cash position and a low debt-to-equity ratio, which provide us with adequate financial flexibility. As in the past, our cash management policy is to finance our investment needs mainly with net cash generated from operating activities.

During 2019, our net cash increased by $341 million, due to net cash from operating activities exceeding net cash used in investing and financing activities.

The components of our cash flow for the last three years are set forth below:

	Year Ended December 31,		
	2019	2018	2017
		(In millions)	
Net cash from operating activities	$ 1,869	$ 1,845	$ 1,677
Net cash used in investing activities	(1,172)	(1,212)	(1,468)
Net cash used in financing activities	(343)	(122)	(106)
Effect of changes in exchange rates	(13)	(4)	27
Net cash increase	**$ 341**	**$ 507**	**$ 130**

Net cash from operating activities. Net cash from operating activities is the sum of (i) net income (loss) adjusted for non-cash items and (ii) changes in net working capital. The net cash from operating activities in 2019 was $1,869 million, increasing compared to $1,845 million in the prior year, mainly due to more favorable changes in net working capital, compensating lower net income.

Net cash used in investing activities. Investing activities used $1,172 million of cash in 2019, decreasing from $1,212 million in the prior year. Payments for purchase of tangible assets, net of proceeds, totaled $1,174 million, compared to $1,262 million registered in the prior-year period. The 2019 numbers also included the proceeds from matured marketable securities of $200 million and the net cash outflow of $127 million for the acquisition of Norstel.

Net cash used in financing activities. Net cash used in financing activities was $343 million for 2019, compared to the $122 million used in 2018. The 2019 amount included $281 million proceeds from long-term debt, $144 million of long-term debt repayment, $250 million of repurchase of common stock and $214 million of dividends paid to stockholders.